Almonty Industries Inc.

Unaudited Interim Condensed Consolidated Statements of Operations and Comprehensive Loss

(in thousands of Canadian dollars except for per common share amounts and unless otherwise noted)

	Note	For the three months ended June 30, 2026	June 30, 2025	For the six months ended June 30, 2026	June 30, 2025
Revenues		**42,989**	7,192	**68,389**	15,100
Cost of sales					
Production costs		**16,258**	7,581	**28,097**	14,169
Care and maintenance costs		**309**	284	**607**	564
Depreciation and amortization		**319**	271	**572**	559
		16,886	8,136	**29,276**	15,292
Income (loss) from mining operations		**26,103**	(944)	**39,113**	(192)
Expenses					
General and administrative	22	**8,858**	4,088	**15,992**	7,494
Interest expense		**5,742**	1,122	**6,236**	2,328
Share-based compensation	13	**1,119**	6,773	**4,752**	7,624
Foreign exchange (gain) loss		**(698)**	314	**(2,498)**	1,414
		15,021	12,297	**24,482**	18,860
Income (loss) before other income (expenses) and income taxes		**11,082**	(13,241)	**14,631**	(19,052)
Other income (expenses)					
Interest income		**3,823**	-	**6,169**	-
Loss on valuation of warrant liabilities	9	**(588)**	(38,084)	**(2,608)**	(63,894)
Gain (loss) on valuation of embedded derivative liabilities	10	**204,407**	(6,942)	**198,015**	(9,851)
Loss on valuation of embedded derivative asset	10	**(30,683)**	-	**(30,683)**	-
		176,959	(45,026)	**170,893**	(73,745)
Net income (loss) before income taxes		**188,041**	(58,267)	**185,524**	(92,797)
Income tax expense		**6,244**	(58)	**8,991**	34
Net income (loss) for the period		**181,797**	(58,209)	**176,533**	(92,831)
Other comprehensive income (loss)					
Items that may be reclassified subsequently to profit/loss					
Unrealized gain on foreign currency translation		**8,083**	15,184	**2,621**	13,687
Comprehensive income (loss) for the period		**189,880**	(43,025)	**179,154**	(79,144)
Earnings per share					
Basic		**$ 0.64**	$ (0.30)	**$ 0.63**	$ (0.49)
Fully-diluted		**$ 0.62**	$ (0.30)	**$ 0.60**	$ (0.49)
Weighted average shares outstanding		**285,003,738**	192,149,789	**281,737,428**	188,201,871
Weighted average fully-diluted shares outstanding		**295,166,112**	192,149,789	**291,801,432**	188,201,871

The accompanying notes are an integral part of these unaudited interim condensed consolidated financial statements.

Almonty Industries Inc.

Unaudited Interim Condensed Consolidated Statements of Cash Flows

(in thousands of Canadian dollars except for per common share amounts and unless otherwise noted)

	Note	For the six months ended June 30, 2026	For the six months ended June 30, 2025
Operating activities			
Net income (loss) for the period		176,533	(92,831)
Add (deduct) non-cash items:			
Share-based compensation		4,752	7,624
Depreciation and amortization		572	559
Interest expense		6,236	2,328
Income tax expense		-	34
Loss on valuation of warrant liabilities	9	2,608	63,894
(Gain) loss on valuation of embedded derivative liabilities	10	(198,015)	9,851
Loss on valuation of embedded derivative asset	10	30,683	-
Unrealized foreign exchange (gains) losses		(2,498)	1,414
		20,871	(7,127)
Changes in non-cash working capital			
Trade receivables		(10,043)	(636)
Taxes recoverable		(926)	(206)
Inventories		754	(876)
Prepaid expenses and other current assets		(2,425)	(1,439)
Accounts payable and accrued liabilities		26,491	(4,321)
Deferred revenues		(3,071)	-
Net change in non-cash working capital		10,780	(7,478)
Other assets		(45)	(312)
Cash flow provided by (used in) operating activities		**31,606**	**(14,917)**
Investing activities			
Additions to mining assets		(36,893)	(14,871)
Cash flow used in investing activities		**(36,893)**	**(14,871)**
Financing activities			
Issuance of common shares for private placements		-	11,125
Share issuance costs paid		(1,370)	(772)
Exercise of stock options		1,678	107
Exercise of CDI options		2,119	11,478
Exercise of warrants		4,301	247
Issuance of long-term debt	11	-	29,374
Repayment of long-term debt	11	(409)	(354)
Issuance of convertible senior notes	11	1,127,440	-
Convertible senior notes issuance costs	11	(38,793)	-
Funding of capped call	10	(132,310)	-
Interest paid		(494)	(1,745)
Cash flow provided by financing activities		**962,162**	**49,460**
Effect of foreign currency translation on cash		**1,958**	**(113)**
Net increase in cash for the period		**958,833**	**19,559**
Cash at beginning of period		268,409	7,830
Cash at end of period		**1,227,242**	**27,389**

See Note 21 for supplemental cash flow disclosures.

The accompanying notes are an integral part of these unaudited interim condensed consolidated financial statements.

conjunction with the exercise of warrants, CDI options and stock options. Subsequent to June 30, 2026, the Company also repaid its term loan with KfW IPEX-Bank GmbH ("KFW") in the amount of EUR14,662.

The Company's current forecast indicates that it will have sufficient cash flows from operations and from financings outlined above for the next year to continue as a going concern and settle obligations as they come due. The assessment of the Company's ability to continue as a going concern, by its nature, relies on estimates of future cash flows and other future events, whose subsequent changes would materially impact the validity of such an assessment.

2. Basis of presentation

Statement of compliance

These unaudited interim condensed consolidated financial statements, including comparatives, have been prepared in compliance with IFRS as issued by the International Accounting Standards Board, including International Accounting Standards ("IAS") 34, *Interim Financial Reporting*. Accordingly, certain disclosures included in annual financial statements prepared in accordance with IFRS have been condensed or omitted and these unaudited interim condensed consolidated financial statements should be read in conjunction with the Company's audited consolidated financial statements for the year ended December 31, 2025.

These unaudited interim condensed consolidated financial statements were authorized for issuance by the Board of Directors of the Company on August 11, 2026.

Basis of presentation

These unaudited interim condensed consolidated financial statements are presented in Canadian dollars ("CAD"), unless otherwise noted and have been prepared on a historical cost basis, except for fair-value through-profit-or-loss financial assets and liabilities and derivative financial instruments, which are measured at fair value.

Change in Functional Currency

From inception to June 1, 2026, the functional currency of the Company has been CAD. The functional currency determination was conducted through an analysis of the consideration factors identified in IAS 21 *The Effects of Changes in Foreign Exchange Rates*. The June 2026 Convertible Senior Notes financing completed in June 2026 and changes to the Company's structure and operations have resulted in a change to the functional currency in which the Company's management conducts its operating, capital and financing decisions. Consequently, the functional currency of the Company became the United States dollar ("USD") effective June 1, 2026.

3. Material accounting policies

The significant accounting policies applied in the preparation of these interim condensed consolidated financial statements are consistent with those disclosed in Note 3 to the Company's audited annual consolidated financial statements for the year ended December 31, 2025. There have been no other significant changes to the Company's accounting policies during the three and six months ended June 30, 2026, other than the addition of the accounting policy for derivatives as described below.

Derivatives

The Company may use capped call arrangements in connection with the June 2026 Convertible Senior Notes. A capped call is a derivative instrument that allows the Company to settle its conversion obligations in respect of the 2026 Convertible Senior Notes in common shares, cash, or a combination of the two, to economically offset potential dilution arising from the conversion of the associated convertible instruments, subject to a cap. Capped

calls are classified as derivative assets, initially measured at fair value on the issuance date and subsequently remeasured at fair value at each reporting date, with changes in fair value recognized in other income (expenses) in the consolidated statements of operations.

As an accounting policy election, the Company does not reassess or reclassify financial instruments for changes in circumstances occurring after initial recognition, other than where reclassification is required by IFRS. Accordingly, financial instruments continue to be accounted for based on their classification at initial recognition. This policy applies consistently to similar changes in circumstances, including changes in the Company's functional currency, which may otherwise have affected the classification of certain convertible debt instruments.

4. Judgments and estimation uncertainty

The preparation of unaudited interim condensed consolidated financial statements in conformity with IFRS requires management to make judgments, estimates and form assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from those estimates.

Estimates and underlying assumptions are reviewed at each period end. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected. These estimates and assumptions are disclosed in Note 4 of the Company's audited annual consolidated financial statements for the year ended December 31, 2025.

There have been no significant changes to the areas of estimation and judgment during the three and six months ended June 30, 2026, other than the valuation of derivative assets related to capped call arrangements described in Note 10. The fair value of these instruments is determined using valuation techniques that incorporate significant unobservable inputs and is therefore classified within Level 3 of the fair value hierarchy.

5. Cash

As at June 30, 2026, cash includes $4,106 (December 31, 2025 - $2,461) solely for use on the Sangdong Mine.

6. Inventories

		June 30, 2026		December 31, 2025
Stores and fuel	$	**6,730**	$	6,344
Ore and in-process ore		**1,124**		397
Finished goods – WO_3 concentrate		**810**		2,677
Current inventories		**8,664**		9,418
Tailings		**33,660**		33,392
Total inventories	**$**	**42,324**	$	42,810

As at June 30, 2026 and December 31, 2025, tailings inventories are classified as long term as these inventories may not be processed within the next year.

of Directors of Almonty. The Omnibus Plan was re-approved by Almonty's shareholders at its Annual and Special Meeting of Shareholders held on April 30, 2025. The Company's stock options do not include CDI options.

For the six months ended June 30, 2026 and year ended December 31, 2025, the outstanding stock options are summarized as follows:

	Number of Stock Options
Options outstanding at December 31, 2024	14,520,001
Options granted	2,564,663
Options exercised	(8,054,911)
Options forfeited upon cashless exercise	(1,831,775)
Options expired	(66,666)
Options outstanding at December 31, 2025	7,131,312
Options granted	**10,000**
Options exercised	**(4,406,180)**
Options forfeited upon cashless exercise	**(312,142)**
Options outstanding at June 30, 2026	**2,422,990**

The following table discloses the average exercise price, number of options and contractual life as at June 30, 2026:

Range of Exercise Prices	Number Outstanding	Number Exercisable	Weighted Average Remaining Contractual Life	Weighted Average Exercise Price
$ 0.50 - $ 1.85	1,583,324	1,583,324	2.37	$ 0.99
$ 2.43 - $ 3.86	679,666	581,282	3.74	$ 3.18
$ 8.93 - $23.69	160,000	160,000	4.44	$ 9.85
Total Options	**2,422,990**	**2,324,606**	**2.89**	**$ 2.19**

During February 2025, the Company granted 166,666 stock options to employees and consultants of the Company pursuant to the Company's stock option plan then in effect. The stock options vested immediately and are exercisable for a period of five years from the grant date at $1.79 per common share. The grant resulted in the recording of share-based compensation expense of $204. The value of the stock options granted was determined using the Black-Scholes Option Pricing Model using a risk-free interest rate of 2.66%, volatility of 60.54% based on historical volatility, expected life of five years, and no expected dividend yield.

During February 2025, the Company granted 133,333 stock options to employees and consultants of the Company pursuant to the Company's stock option plan then in effect. The stock options vested immediately and are exercisable for a period of five years from the grant date at $2.87 per common share. The grant resulted in the recording of share-based compensation expense of $206. The value of the stock options granted was determined using the Black-Scholes Option Pricing Model using a risk-free interest rate of 2.76%, volatility of 61.48% based on historical volatility, expected life of five years, and no expected dividend yield.